ZERODHA Teardown(Image Screens – Click to View PPT) Fintech Series

Company Mission & Vision (Link- https://zerodha.com/tos/investor-charter/)

Vision

- To believe in forming a world without brokers
- To follow highest standards of ethics and compliances while facilitating the trading by clients in securities in a fair and transparent manner, so as to contribute in creation of wealth for investors.

Mission

- To provide high quality and dependable service through innovation, capacity enhancement and use of technology.
- To establish and maintain a relationship of trust and ethics with the investors.
- To observe highest standard of compliances and transparency.
- To always keep 'protection of investors' interest' as goal while providing service.
- To ensure confidentiality of information shared by investors unless such information is required to be provided in furtherance of discharging legal obligations or investors have provided specific consent to share such information

Core Problem & Use Case(s) | Why they do what they do - https://zerodha.com/z-connect/general/business-updates-13-years-of-zerodha-and-why-we-do-what-we-do

- Do better with money while saving, investing, or trading across financial products.
- Help India financialize meaningfully - allocate a higher percentage of personal wealth to entrepreneurs, first through stock exchanges in public companies, and eventually help create local pools of capital from investors for Indian startups

Target Segments & Roles

B2B Users

- **Fintech Startups:** Priya Sharma, 26–35
  - *Utility:*Uses Kite Connect API (PaaS) to build trading/investment solutions (basket of stocks, smallcases).
  - Low-effort integrations via Kite Publisher.
- **Institutional/Corporate:** Rajeev Verma, 35–50
  - *Utility:* Focused on advanced intraday equities, F&O; needs fast execution, better ChartIQ, real-time data, option chains

B2C Users

Retail Investors: Prathmesh, Age 25

- *Utility:* Wants easy investing (equity, MF, govt securities, IPOs), transparent P&L, portfolio tracking, and educational nudges.
- *Behaviours:* Limited Time to Trade, Still Learning, Needs Educational Resources to learn better, Fearful of errors

Retail Investors: Dharmesh, Age 43

- *Utility:* Wants easy investing (equity, MF, govt securities, IPOs), transparent P&L, portfolio tracking, and educational nudges.
- *Behaviours:* Great Knowledge, was an SDE so uses integrations for personal workflows – tries to optimize for everything

Day Traders: Karan Mehta, 32

- Engages in advanced intraday/F&O segments; values fast order execution, advanced ChartIQ, real-time data, option chains

Algo-Trader: Neha Shetty, 27

- *Utility:* Builds automated trading using Kite Connect APIs; relies on robust APIs, reliability, and solid documentation.

Key Value Proposition & Differentiation

- **Low-cost, transparent, and accessible approach to investing, made possible by its discount brokerage model**

Feature & Capability Analysis

Product Line & Offerings

- Kite – Trading Platform (Great on Desktop, Not Intuitive on Phone - https://kite-demo.zerodha.com/dashboard)
- Coin – Mutual Funds & NPS Investments (https://coin.zerodha.com/) – Longterm Investment Needs
- **Kite Connect API** – For Startups to build own investment apps and show it to their clientbase (Personal Free; Connect @500 INR per month) - https://zerodha.com/products/api/ + **MCP Server** (Link); Official
- Varsity Mobile – For Educating Traders | Console to view everything
- Zerodha's Blog - https://zerodha.com/z-connect/

Recent Product or Feature Launches - https://zerodha.com/z-connect/business-updates/whats-new-at-zerodha-june-2025

Date	Features	Use/Description
Jul-25	Trade from Charts	Place, modify, and manage orders directly from TradingView charts on Kite web for fastest execution
Jul-25	AI Model Context Protocol (MCP)	Connect portfolio to AI assistants (Claude, Cursor) for real-time, personalized portfolio insights
Jul-25	Collateral Margin for Option Buying	Now buy options using pledged stocks, bonds, MFs; **cashless option buying for advanced traders in derivates**
Jul-25	Redesigned MarketWatch	Up to 25 custom watchlists, custom groups, ready-made lists (Nifty etc.)
Jul-25	Mobile App Features	Market protection orders, order slicing, MF tracking, quick exit, in-app margin visibility

Mar-Jul 2025	API Pricing Slashed	Real-time + historical API: INR 500/month; free order/account APIs; easier/cheaper automation (earlier 2K/mo.)
Jul-25	Portfolio Performance Curve	See NAV-style performance, benchmark vs. indices (Nifty etc.) over time
Jul-25	Stock Pages (Tijori-powered)	Deep-dive fundamental/company info in one place
Jul-25	MTF Enhancements	Higher limits, convert MTF to delivery, GTT/AMO for MTF, more eligible stocks
Jul-25	Lower Haircut for Pledged Sec.	Get more collateral margin when pledging stocks for F&O

Other Stuff (Not App Based)

- Varsity Live – Interactive Hands-on sessions & Varsity Quiz
- Community Meet Ups & Summer Camps for Kids
- Loan Against Securities & Credit Score (Zerodha Capital)

Upcoming

- Intra Day – One Cancels Other Orders (E.g. Stop-loss and target – triggering one cancels other)
- Swing Trading with Pledged MFs & ETFs (Use Collateral from MFs to take short term positions without liquidation)
- Excel Kite Order Execution (Modify & Square Off from Excel sheets into Kite)
- Trailing Stop Loss - A stop-loss order that automatically moves up as the price rises

Extensions:



Volumes:

- 1.6 Cr Customers | >15% Volumes Daily in India – More on Instagram (IIMA Product IG)

UI/UX Breakdown Takeaways - ZerodhaProdScreens.pptx

- Key Findings – onboarding is not fluid, multiple redirects on the mobile application
- Easy to migrate if you already have the KYC Setup

End-to-End User Flow Mapping –Screen & Comments - ZerodhaProdScreens.pptx

Monetization / Business Model

Charges - https://www.investorgain.com/brokerage-plan/zerodha/18/

Zerodha Revenue Streams & FY24 Performance

Revenue Stream Bucket	FY24 Revenue (Approx.)	Proportion of Revenue (Approx.)	Specific Stream	Description & Monetization Model	
Core Brokerage Operations	₹3,800 - ₹4,200 Cr	~50-55%	Intraday & F&O Brokerage	The primary revenue driver. A flat fee of ₹20 or 0.03% (whichever is lower) is charged per executed order for intraday and derivatives trading.	
Interest-Based Income	₹2,300 - ₹2,700 Cr	~30-35%	Interest on Client Funds (Float)	Interest earned on the substantial pool of uninvested cash that clients maintain in their trading accounts.	
			Interest on Debit Balances	Charging a daily interest (currently ~0.05%) on any negative balance in a client's account.	
			Margin Trading Facility (MTF)	Charging interest on funds provided to clients who borrow to invest more than their available capital.	
Platform & Ancillary Fees	₹750 - ₹950 Cr	~10-12%	Annual Maintenance Charge (AMC)	A recurring annual fee of ₹300 + GST for maintaining a demat account.	
			DP Charges & Off-Market Transfers	Fees levied on every sell transaction from the demat account (DP Charge) and for transferring shares.	
			Payment Gateway Fees	A nominal fixed fee (e.g., ₹9 + GST) charged for instant fund transfers.	
			Kite Connect API	A monthly subscription fee for developers and startups using Zerodha's trading APIs.	
Ecosystem & New Ventures	₹150 - ₹250 Cr	~2-3%	Asset Management (Zerodha Fund House)	Revenue generated from the expense ratios of their own ETFs and mutual funds.	
			Lending (Zerodha Capital)	Interest income from providing Loans Against Securities (LAS) to clients through their NBFC arm.	
			Strategic Investments (Rainmatter)	Long-term value creation through returns on equity investments in various fintech startups.	
Total Revenue (FY24)	~₹7,858 Crore	100%		Zerodha's total revenue for the fiscal year ending March 31, 2024, was approximately ₹7,858 crore, with a profit after tax of ₹3,780 crore.	

Referral – Waives off the AMC but not much else, can't be converted to cash

Market Trends – QC

- 14 Years of Zerodha Report : https://zerodha.com/z-connect/business-updates/business-updates-14-years-of-zerodha-the-pivot
- Key Takeaways:
  - **Significant regulatory risks ahead**: SEBI rules on "true-to-label," index derivatives, higher AMC thresholds, and *end of referral payouts will slash revenues by up to 50%—management expects a big hit soon.*
  - **Profits at an all-time high but plateauing:** FY24 revenues at ₹8,320 crore, net profits ₹4,700 crore; company is extremely safe financially but expects earnings to stall or decline due to regulatory changes.
  - **No IPO planned**: Zerodha avoids going public to retain long-term, customer-focused decision-making and preserve flexibility amidst unpredictable revenues.
  - **Platform simplicity vs. advanced features:** The main product challenge is serving both experienced traders and new users on the same platform without sacrificing usability or feature depth.

- **Massive customer wealth creation:** Assets under custody have reached ₹5.66 lakh crore, customers collectively sitting on ₹1+ lakh crore in unrealized profits.
- **Diversification initiatives**: *New revenue streams include MTF, AMC/passive funds, LAS, health insurance, public/private markets, and non-profits—but these are early-stage for now.*
- Transparency and reliability: Zerodha claims industry-leading uptime and lowest complaint rates; continues high investment in infrastructure, R&D, and content localization for growing Tier 2/3 user base.

PM Metrics

Objectives – Revenue (Primary) & Retention (Secondary – keep Traders Active)

- North Star: CLTV = total revenue per customer over time.
- L1: MAU (active users/month), CAC (cost to acquire users), ARPU
- L2: DART (daily revenue from trades), Churn rate (% leaving), Repeat Trade/Deposit Rate, AOV (for ARPU?)
- L3: D7, D30, Session Frequency, Holding Period, Referral Conversions, (Ticket Resolution for NPS ?)

Strengths & Weaknesses

+ Advanced Platform – APIs + MCP – Great for Power Users
+ Transparent & Low Cost (0 Equity Delivery, 20 INR Intra Day Trades)
- Not Beginner Friendly – Mobile app is overwhelming
- Customer Support Apparently isn't great
- No Zero AMC unlike Groww (Zero for Zerodha for BSDA acc. With <4L INR Holdings)

Suggested Improvements / New Ideas

- Issue – Onboarding Redirects – Do not redirect user between websites and the mobile application
- News & Research Related insights on multiple different applications – Have a unified layer wherein a user perhaps might get redirected but nevertheless can access the same through the main application – discovery of this is an issue if the user is a mobile user – especially the case with people trading in between work on their personal devices